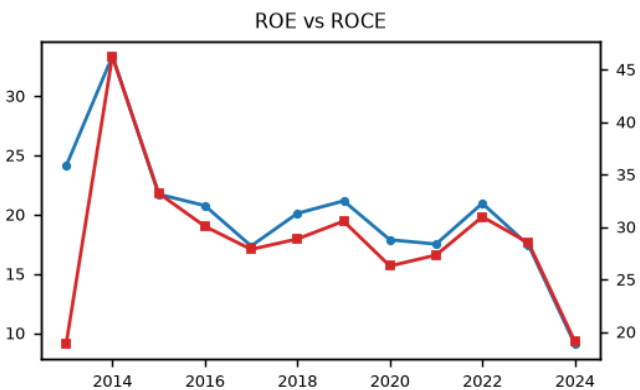
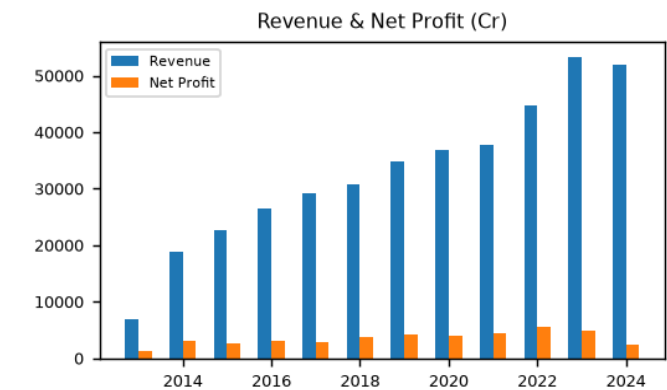
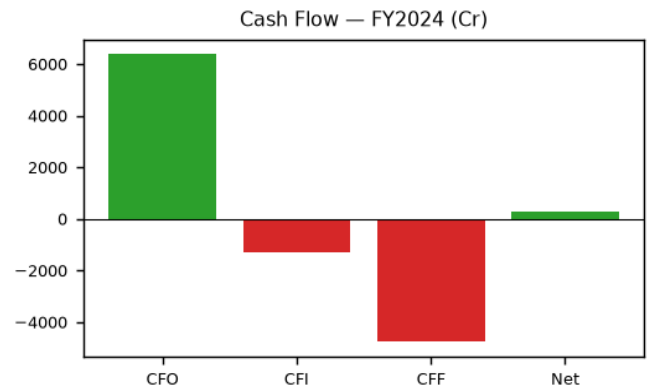
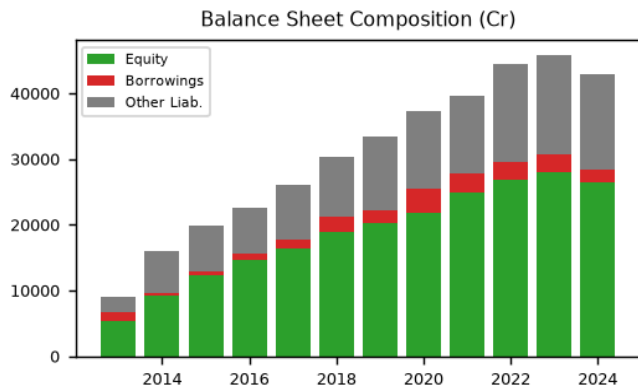


Tech Mahindra Ltd (TECHM)

Information Technology · Fiscal Year 2024

ROE 9.1%	ROCE 19.1%	Net Profit Margin 4.6%
D/E 0.1	Revenue CAGR 5yr 8.4%	FCF (Cr) 5,058





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation: Shareholder Returns